DE–456 **11**

DISTANCE EDUCATION

M.B.A. (CS) DEGREE EXAMINATION, DECEMBER 2014.

First Semester

MANAGEMENT CONCEPTS

(Upto 2012–13 Academic Year and 2013 Calendar Year)

Time : Three hours Maximum : 100 marks

PART A — (5 × 8 = 40 marks)

Answer any FIVE questions.

All questions carry equal marks.

1. Distinguish between objectives and policies.

2. What is Budgetary Control? Explain the various types of Budgets.

3. Explain the various contributions of Elton Mayo to Management.

4. What is Tows Matrix? Explain.

5. Discuss the role of electronic media in communication.

6. Discuss the structure and process of organising.

7. Explain Bench Marking.

8. How does information technology help as a control technique?

PART B — (4 × 15 = 60 marks)

Answer any FOUR questions.

All questions carry equal marks.

9. What are the contributions of F.W. Taylor towards Management?

10. Explain the Reddin's Three Dimensional Model of leadership.

11. Explain the modern approach in Management.

12. Centralisation and Decentralisation are the extensions of delegation and are usually found in all types of organisation? Discuss.

13. Take an organisation you know and discuss its culture. Is the culture helping or hindering the organisation with respect to the achievement of its goal? In what ways.

14. What would you need to know to plan an organisaiton structure? How far ahead should you plan it? How would you go about making such a plan?

15. Give an account of the process of control application at different levels of management.

DE–457 **12**

DISTANCE EDUCATION

M.B.A. (CS) DEGREE EXAMINATION, DECEMBER 2014.

First Semester

MANAGERIAL ECONOMICS

(Up to 2012-13 Academic year & 2013 calendar year)

Time : Three hours Maximum : 100 marks

PART A — (5 × 8 = 40 marks)

Answer any FIVE questions.

All questions carry equal marks.

1. Define managerial economics. What are its chief characteristics?

2. Discuss the law of demand. Why does a demand curve always slope downwards to the right?

3. What are the essentials for the success of a cost reduction programme?

4. How does a monopolist fix the price of the product?

5. What is price discrimination? What are its objectives?

6. Comment on the various types of discounts and the effects of each on sales.

7. Discuss the utility of cost-volume-profit analysis in managerial decision making.

8. What are the causes of disequilibrium in balance of payments?

PART B — (4 × 15 = 60 marks)

Answer any FOUR questions.

All questions carry equal marks.

9. Describe the basic economic tools in managerial economics.

10. Explain the scope of managerial economies.

11. Define demand. Discuss the main determinants of demand.

12. Describe the various economies of scale.

13. Define a production function. Explain and illustrate isoquants and isocost curves.

14. Discuss the factors affecting investment decision.

15. Describe the various phases of business cycle.

DE–458 **13**

DISTANCE EDUCATION

M.B.A. (C.S) DEGREE EXAMINATION, DECEMBER 2014.

First Semester

GENERAL LAWS

(Upto 2012-13 academic year and 2013 calendar year)

Time : Three hours Maximum : 100 marks

PART A — (5 × 8 = 40 marks)

Answer any FIVE questions.

1. What do you mean by freedom of Trade?
2. Explain the importance of fundamental rights.
3. Describe the structure of Indian civil court.
4. Explain the term 'Orders'.
5. Explain the provisions for modification of arbitration agreement.
6. Distinguish between mortgage and lease.
7. Describe various methods of stamping.
8. Explain the instruments for stamp duty payment.

PART B — (4 × 15 = 60 marks)

Answer any FOUR questions.

9. Explain preamble and features of Indian constitution.
10. Define the constitutional provisions relating to state monopoly.

11. Explain 'Stay of suits' with example.

12. Define arbitration agreement and its legal proceedings.

13. Explain movable and immovable property under transfer of property Act, 1882.

14. Explain the importance of registration.

15. Brief out the exemptions under the stamp Act.

DE–459 **14**

DISTANCE EDUCATION

M.B.A. (CS) DEGREE EXAMINATION,
DECEMBER 2014.

First Semester

COMPANY LAW

(Upto 2012–2013 Academic year and 2013 calendar year)

Time : Three hours Maximum : 100 marks

PART A — (5 × 8 = 40 marks)

Answer any FIVE questions.

All questions carry equal marks.

1. What is meant by lifting of corporate veil? Under what circumstances the corporate veil has been lifted.

2. List out the principles for selecting the nature of the company.

3. What is doctrine of indoor management? What are its exceptions?

4. Write the procedure for reduction of share capital.

5. What are the advantages of using debenture capital?

6. What are the ways by which a person become a member of a company?

7. What are the various modes of appointment of directors of a company?

8. State the provisions of law relating to quorum of meeting.

PART B — (4 × 15 = 60 marks)

Answer any FOUR questions.

All questions carry equal marks.

9. Explain the different types of companies and also state the special privileges of a private company.

10. State the legal provisions relating to annual returns to be field with the registrar by the company having or not having share capital.

11. The memorandum of association is the fundamental documents of the company. Discuss

12. Explain the provisions of law relating to registration of charges and also indicate the effects of non–registration of charges.

13. Discuss the powers and duties of directors of a company.

14. What is statutory meeting? Explain the procedure for conducting the statutory meeting.

15. What is special resolution? What are the purposes for which special resolution is required?

DE–460 **15**

DISTANCE EDUCATION

M.B.A. (CS) DEGREE EXAMINATION, DECEMBER 2014.

First Semester

CORPORATE ACCOUNTING

(upto 2012-13 academic year and 2013 calendar year)

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE questions.

All questions carry equal marks.

1. Write Short Note on:

   (a) Over-subscription

   (b) Forfeiture of Shares.

   (c) Pro-rata allotment

   (d) Calls-in-arrears.

2. Royal Ltd. issued for public subscription 25,000 equity shares of Rs. 10 each payable Rs.3 on application, Rs.5 on allotment and the balance on first and final call. Applications were received for 40,000 shares. Allotment was made as follows:

   To applicants of 35,000 shares - 25,000 shares

   To applicants of 5,000 shares - Nil

   Give entries for share application and allotments.

3. A company implements the following scheme, Prepare journal entries.

   (a) Issues at par 50,000 redeemable preference shares of Rs.l0 each, redeemable at a premium of 5%.

   (b) Redeems 25,000 of the redeemable preference shares out of the profits of, the company.

   (c) Issue for cash 30,000 equity shares of Rs.l0 each at a premium of Re. l per share and out of the proceeds, the balance of the redeemable preference shares were redeemed.

4. A Ltd. was incorporated on 1st May 2013 to take over the business of Y Ltd. as a going concern with effect from 1st January 2013. The total sales for the year ending 31.12.2013 amounted to Rs. 2,00,000 out of which Rs. 60,000 related to the first four months. The Profit and Loss A/c of the company for the year stood as follows.

Particulars	Rs.	Particulars	Rs.
To salaries	12,000	By gross profit b/d	1,20,000
To Rent and Taxes	5,400		
To Electricity charges	2,700		
To Director's fee	4,000		
To Dis. on issue of Deb	2,800		
To Carriages	4,500		
To Discounts	3,500		
To Salesman's commission	9,000		
To Repairs & Renewals	1,500		
To Interest on loan	3,000		
To Debenture Interest	1,400		
To Bank charges	900		
To Bad debts	700		
To Misc. expenses	3,600		
To Net profit	65,000		
	1,20,000		1,20,000

Rs. 200 of the bad debts arose out of sales made during the period from 1st January to 1st May 2013. Prepare a statement showing clearly the pre incorporation and post incorporation profits.

5. Determine the maximum remuneration payable to the part time directors and Manager of Bharat Ltd. (a manufacturing company) under Sections 309 and 387 of the Companies Act 1956 from the following particulars:

Before charging any such remuneration, the Profit and Loss account showed a credit balance of Rs. 23,05,000 for the year ended 31st March 2014 after taking into account the following matters:

(a)	Profit on sale of investments	2,05,000
(b)	Subsidy received from government	4,10,000
(c)	Loss on sale of fixed assets	65,000
(d)	Ex-gratia to an employee	30,000
(e)	Compensation paid to injured workman	75,000
(f)	Provision for taxation	2,79,000
(g)	Bonus to foreign Technicians	3,12,000
(h)	Multiple shift allowance	1,00,000
(i)	Special depreciation	75,000
(j)	Capital Expenditure	5,10,000

Company is providing depreciation as per Section 350 of the Companies Act 1956.

6. Ravi Ltd and Kumar Ltd. decided to amalgamate and a new company Ravikumar ltd. is formed to take over both the companies as on 31st March 2014.

Balance sheet

Liabilities	Ravi Ltd (Rs.)	Kumar Ltd (Rs.)	Assets	Ravi Ltd (Rs.)	Kumar Ltd (Rs.)
Share capital @ Rs. 10 each	5,00,000	2,50,000	Land and Building	1,00,000	2,00,000
Bank loan	50,000	1,50,000	Plant and machinery	5,00,000	6,00,000
Creditors	1,50,000	2,00,000	Goodwill	1,00,000	-
Bills payable	1,00,000	1,50,000	Patents	-	1,00,000
General reserve	50,000	50,000	Stock	1,00,000	1,20,000
P and L A/C	1,50,000	4,00,000	Debtors	2,00,000	1,00,000
Capital Reserve	1,00,000	1,00,000	Bills receivable	-	80,000
			Cash	25,000	15,000
			Bank	75,000	85,000
	11,00,000	13,00,000		11,00,000	13,00,000

The following is the accepted scheme of valuation of business of the two companies.

Ravi Ltd.

(a) Create Provision for bad debts @ 10% on Debtors.

(b) Write off goodwill by Rs 50,000

(c) Write off 25% on Plant and Machinery and 15% on Land and Building.

(d) Write off 15% of Stock.

Kumar Ltd.

(a) Write off 7% on Land & Buildings and 15% on Plant and Machinery.

(b) Create provision for bad debts @ 15% on debtors.

(c) Write off patents by Rs. 25,000.

You are required to compute Purchase Consideration for both the companies.

7. From the Balance Sheets given below prepare a consolidated Balance Sheet of A Ltd. and its subsidiary company B Ltd.

Balance Sheet as on 30th June 2014

Liabilities	A Ltd (Rs.)	B Ltd (Rs.)	Assets	A Ltd (Rs.)	B Ltd (Rs.)
Share capital			Land & building	6,40,000	2,00,000
(Shares of Rs. 10 each)	25,00,000	6,00,000	Machinery	12,60,000	3,40,000
General reserve	3,60,000	1,20,000	Furniture	1,40,000	60,000
P & L A/C	2,40,000	1,80,000	40,000 shares in B ltd	5,00,000	-
Trade creditors	3,50,000	1,00,000	Stock	4,10,000	2,50,000
			Debtors	3,80,000	1,00,000
			Bank	1,20,000	50,000
	34,50,000	10,00,000		34,50,000	10,00,000

At the date of the acquisition by A Ltd. of its holding of 40,000 shares in B Ltd. the later company had undistributed profits and reserves amounting to Rs. 1,00,000 none of which has been distributed since then.

8. From the following particulars, prepare a profit and loss account of New Bank Ltd, for the year ended 31.12.2013

Particulars	Rs.	Particulars	Rs.
Interest on loans	2,60,000	Interest on Cash Credits	2,25,000
Interest on fixed deposits	2,80,000	Rent and Taxes	20,000
Rebate on bills discounted	50,000	Interest on Overdrafts	56,000
Commission charged to customers	9,000	Directors and Auditor Fees	4,500
Establishment of Expense	56,000	Interest on saving bank A/c	70,000
Discount on bills discounted	2,00,000	Postage and telegrams	1,500
Interest on current accounts	45,000	Sundry charges	1,800
Printing and Advertisement	3,000		

SECTION B — (4 × 15 = 60 marks)

Answer any FOUR questions.

All questions carry equal marks.

9. In January 2013 Green Ltd issued 3,000 shares of Rs. 100 each at a discount of 5%. The issue was fully subscribed by paying Rs. 20 per share on application. The balance was payable as to Rs. 25 on allotment (with adjustment of discount); Rs.20 on first call and Rs. 30 on final call. All the calls were made and received with an exception of final call on 200 shares held by one Mr. Senthil. Pass journal entries to record the above and show the resultant balance sheet.

10. MCS Co. Ltd was formed with a capital of Rs 10,00,000 in Rs.10 shares, the whole amount being issued to the public. The underwriting of these shares was as follows:

A- 35,000 B- 30,000 C- 20,000

D- 10,000 E- 3,000 F- 2,000

All the marked application forms were to go in relief of the underwriters whose stamp they bear. The application forms marked by the underwriters were:

A- 10,000 B- 2,25,000 C- 20,000

D- 7,500 E- 5,000 F- Nil

Applications for 20,000 share were received on forms not marked. Draw up a statement showing the number of shared each underwriter had to take up.

11. A Ltd. was registered with an authorised capital of Rs.6,00,000 in equity shares of Rs.10 each. The following is its trial balance on 31st March 2014.

Trial Balance of 'A' Ltd

Particulars	Debit Balance (Rs.)	Credit Balance (Rs.)
Goodwill	25,000	-
Cash	750	-
Bank	39,900	-
Purchases	1,85,000	-
Preliminary expanses	5,000	-
Share capital	-	4,00,000
12% Debentures	-	3,00,000
P & L A/c (Cr)	-	26,250
Calls-in-arrears	7,500	-
Premises	3,00,000	-
Plant and Machinery	3,30,000	-
Interim dividend	39,250	-
Sales	-	4,15,000
Stock (1.4.2013)	75,000	-
Furniture and fixtures	7,200	-
Sundry debtors	87,000	-
Wages	84,865	-
General Expanses	6,835	-
Fright and carriage	13,115	-
Salaries	14,500	-
Director's fees	5,725	-
Bad debts	2,110	-
Debenture interest paid	18,000	-
Bills payable	-	37,000
Sundry creditors	-	40,000
General reserve	-	25,000
Provision for bad debts	-	3,500
	12,46,750	12,46,750

Prepare profit and loss account, profit & loss appropriation A/c and balance sheet in proper from after making the followings adjustments:

(a) Depreciate plant and machinery by 15%

(b) Write off Rs. 500 from preliminary expenses.

(c) Provide for 6 months interests on debentures.

(d) Leave bad and doubtful debts provision at 5% on sundry debtors.

(e) Provide for income tax at 50%

(f) Stock on 31.3.2014 was Rs. 95,000.

12. Day Ltd and Light Ltd. have agreed to amalgamate. A new company Dim Light Ltd. has been formed to take over the combined cancers as on 31st December 2013. After negotiations, the values of the assets of the two companies have been agreed as show in the following balance sheet:

Liabilities	Day Ltd. (Rs.)	Light Ltd. (Rs.)	Assets	Day Ltd. (Rs.)	Light Ltd. (Rs.)
Issue Capital : 75,000 shares of			Land and buildings	4,50,000	7,50,000
Rs. 10 each fully paid	7,50,000	-	Plant and Machinery	3,75,000	3,00,000
1,50,000 shares of Rs. 10 each	-	15,00,000	Good will	75,000	1,65,000
Sundry Creditors	75,000	1,20,000	Stock	30,000	2,25,000
Reserve fund	75,000	-	Sundry debtors	30,000	1,80,000
P & L A/C	75,000	75,000	Cash at bank	15,000	75,000
	9,75,000	16,95,000		9,75,000	16,95,000

The assets and liabilities are taken over by Dim light Ltd. Show how the amount payable to each company is arrived at and prepare the balance sheet of the new company.

13. On 31st March, 2006 the balance sheets of H Ltd. and its subsidiary S stood as follows:

Liabilities	H Ltd (Rs.)	S Ltd (Rs.)	Assets	H Ltd (Rs.)	S Ltd (Rs.)
Equity share capital	8,00,000	2,00,000	Fixed assets	5,50,000	1,00,000
General reserve	1,50,000	70,000	75% shares in		
Profit and loss A/C	90,000	55,000	S Ltd (at cost)	2,80,000	-
Creditors	1,20,000	80,000	Stock	1,05,000	1,77,000
			Other current assets	2,25,000	1,28,000
	11,60,000	4,05,000		11,60,000	4,05,000

Draw a consolidated Balancc Sheet as at 31st March, 2006 after taking into consideration the following information:

(a) H Ltd. acquired the shares on 31st July, 2005.

(b) S Ltd. earned profit of Rs. 45,000 for the year ended 31st March, 2006.

(c) In January 2006 S Ltd. sold to H Ltd. goods costing Rs. 15,000 for Rs. 20,000. On 31st March, 2006 half of these goods were lying as unsold in godown of H Ltd.

14. Explain in details the legal provisions relating to the final account of a banking company.

15. The following balances are abstracted from the books of new Bharat life insurance corporation, as on 31-12-2013.

Particulars	Rs.	Particulars	Rs.
Life Assurance Fund (1.1.2013)	15,00,000	Claims paid during the year	64,900
Premiums	4,96,000	Annuities	2,050
Consideration for annuities Granted	15,000	Bonus in reduction of premiums	1,600
Interest on Dividends	1,00,000	Medical fees	2,400
Finance for Revival of polices	750	Surrenders	4,000
Reinsurance premium	20,750	Commission	18,650
Claims outstanding (1.1.2013)	4,500	Management Expenses	22,000
		Income Tax on Dividends	8,500

Prepare revenue account after making the following adjustments.

(a)	Out standing balances		Rs.
	(i)	Claims	14,000
	(ii)	Premiums	4,600
(b)	Further bonus for premium		2,400
(c)	Claim under reinsurance		8,000.

DE–461 **21**

DISTANCE EDUCATION

M.B.A. (CS) DEGREE EXAMINATION, DECEMBER 2014.

Second Semester

HUMAN RESOURCE MANAGEMENT

(Upto 2012 – 2013 Academic year and 2013 Calendar year)

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE questions.

1. List the similarities and differences between HRM and PM.

2. Define the terms Job enlargement, Job enrichment and job rotation and explain with an example.

3. Explain the benefits of training need assessment.

4. Explain the components of remuneration.

5. Explain the internal and external sources of recruitment.

6. Elucidate the qualities to be possessed by HR Manager.

7. Differentiate job description from job specification.

8. Describe the importance of personnel research.

SECTION B — (4 × 15 = 60 marks)

Answer any FOUR questions.

9. Explain the functions of HRM.

10. Explain the steps in selection process.

11. Elucidate the process of training need analysis and the levels at which training need analysis is carried out.

12. Explain the various types of incentives offered by organization.

13. Explain the methods of job evaluation.

14. Discuss the need for maintaining discipline in an organization. Explain the consequences of lack of discipline at the work place.

15. Explain the need for maintaining personnel records of employees. Also bring out the areas/avenues of using these records in organization with suitable examples.

DE–462 **22**

DISTANCE EDUCATION

M.B.A. (CS) DEGREE EXAMINATION, DECEMBER 2014.

Second Semester

BANKING AND INSURANCE LAWS

(Upto 2012–13 Academic Year and 2013 Calendar Year)

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE questions.

All questions carry equal marks.

1. Define Banking and describe the various classifications of banks.

2. Describe the supervisory functions of the RBI.

3. Describe the general relationships between Banker and Customer.

4. State the futures of Negotiable Instruments.

5. What are the principles of sound lending? – Explain.

6. Write a note on the principles of subrogation and contribution.

7. Explain the different types of insurance business.

8. What is proximate cause? Discuss the application of proximate cause to insurance contracts.

SECTION B — (4 × 15 = 60 marks)

Answer any FOUR questions.

All questions carry equal marks.

9. Appraise briefly the major changes brought about in the working of the commercial banks after the nationalisation of major banks in India.

10. Banker as a privileged debtor – Discuss.

11. Discuss in detail the statutory protection granted to a paying banker in the Negotiable Instruments Act.

12. State the objectives of IRDA and bring out the powers and duties of IRDA.

13. Discuss about privatization of Insurance Business in India. State the conditions for success of private insurers.

14. Explain the settlement of insurance claims under Motor Vehicle Insurance.

15. What is Insurance? How does Life Insurance differ from other forms of insurance?

DE–463 **23**

DISTANCE EDUCATION

M.B.A. (CS) DEGREE EXAMINATION, DECEMBER 2014.

Second Semester

DIRECT TAXES

(Upto 2012 – 13 Academic Year and 2013 Calendar Year)

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE questions.

1. Explain any eight partly exempted incomes covered under Income Tax Act 1961.

2. Illustrate the incidence of tax liability.

3. Describe the components of salary.

4. State the rules relate to Wealth Tax return and assessment.

5. Mr. Gatting leaves India for the first time in the last 20 years on November 25, 2010. During the calendar year 2011, he comes to India on September 1 and stays India for a period of 20 days. During the calendar year 2011 he does not visit India at all but comes to India on Jan 15, 2013. Determine the residential status of Mr Gatting for the Previous Year 2012–2013.

6. Calculate income from other sources from information given below:

   (a) Winning from lottery (gross) Rs.1,00,000

   (b) Amount received from race winnings (net) Rs.34,700.

Gifts received during the Previous Year 2012-13

(i) Received Rs.20,000 as gift from his friend

(ii) Received Rs.1,00,000 as gift from his elder brother

(iii) Received Rs.1,40,000 as gift on his marriage

(iv) Received Rs.80,000 as gift from his NRI friend on 1.1.2013

(v) Another gift of Rs.18,000 received from his friend.

7. Mr. Chandran retired on 31.10.2012 after 20 years of service. He received Rs.48,000 as leave encashment. His employer allows him $1\frac{1}{2}$ months leave for every year of service. 18 months salary has been already en-cashed by the employee while in service. Calculate the taxable amount of leave encashment, if his salary for 2011-2012 is Rs.3000 p.m. and during 2012-13 is Rs.4000 p.m. and falls due on last day of every month.

8. Mr. Kedambi as advocate, furnishes the following receipts and payment for the Previous Year 2012-13

Receipts and Payments Account

	Rs.		Rs.
To balance b/d	6,540	By rent	2,400
To legal fees	84,400	By telephone	3,000
To salary (as part time lecturer)	3,600	By salaries	2,400
To Interest on debentures		By subscriptions of	
(not listed)	2,700	law journal	240
To Gifts from clients	10,000	By traveling	560
To rent	6,000	By office expenses	600
To Interest on foreign security	8,000	By purchase of stamp	
To Refund of company deposit	2,000	Paper and court fee	1,600
		By interest on loan	870

Rs.		Rs.
	By donation to school	5,000
	By income tax paid	8,420
	By municipal tax	600
	By LIC premium	6,000
	By wealth tax	1,600
	By balance c/d	89,950
1,23,240		1,23,240

(a) The loan for borrowed for constructing his residential house. Its rental value is Rs.300 p.m.

(b) School is recognized for IT purposes

(c) Gifts from clients include Rs.2000 received from his father. Compute the professional Income.

SECTION B — (4 × 15 = 60 marks)

Answer any FOUR questions.

9. Compute business income with following information

Profit and loss account

	Rs.		Rs.
Salaries to employee's	95,000	Gross profit	3,80,000
Advertisement (in cash)	24,000	Interest on securities	14000
General expenses	16000	Income from house	25000
Entertainment expenses	22,000	Bad debts recovered	
Bad debts	1,500	allowed earlier	12,000
Drawings by the proprietor	24,000		
Sales tax	6,000		
Interest on proprietors capital	7,000		
Repairs	2,500		
Rent	21,000		
Legal expenses	5,000		

	Rs.	Rs.
Depreciation	15,000	
Bonus	6,000	
Bonus to proprietor	4,000	
Car purchased	72,000	
Expenses on car	12,000	
Donations	2,000	
Provision for bad debts	6,000	
Net profit	90,000	
	4,31,000	4,31,000

Notes:

(a) Advertisement expenses were spent on insertions in news papers

(b) Rs.3000 were spent on purchase of land and are included in legal expenses

(c) Half of the repair expenses were on let out building

(d) depreciation allowable on all assets including car is Rs.14,400

(e) Bonus was paid to employees on 30-6-2010 and date of filing of return is 31-7-2013

10. What are the powers of the Commissioner of Income Tax in regard to search and seizure?

11. Mr. X is employed at Hyderabad at a basic salary of Rs.25,000 p.m. and he is also getting following allowances.

(a) Dearness allowance Rs.2000 p.m

(b) Lunch allowance Rs.l000. p.m

(c) Servant allowance (He is paying Rs.1,200 p.m to a servant) Rs.1,000. p.m

(d) Transport allowance Rs.1,000 p.m

(e) Education allowance @ Rs.200 p.m per child for three children

(f) Hostel allowance to one child Rs.500 p.m

(g) Conveyance allowance Rs.800. p.m

(h) Overtime allowance Rs.2,000 p.m

(i) Officiating allowance Rs.2,000 p.m

(j) Cash allowance Rs.1,200 p.m

(k) Entertainment allowance Rs.2,000 p.m

(l) Medical allowance Rs.800 p.m

(m) City compensatory allowance Rs.600 p.m

(n) House rent allowance Rs.5,000 p.m

He's having a family house at the place of his posting but he is living in a rented house and is paying a rent of Rs.7,000 p.m. Find out the Gross salary.

12. The following are the particulars of income of MR. Behi for the Assessment Year 2013-2014

(a)	Income from house property (computed)		Rs.61,200
(b)	Business Income		Rs.80,000
(c)	Dividends (Gross) from co-op company		Rs 500
(d)	Long term capital gain		
	From land	Rs.1,000	
	From jewellary	Rs.800	

(e) He paid Rs.28,000 as Life Insurance premium on his own life on a policy of Rs.2,00,000

(f) He gave Rs.20,000 as donation to a charitable institution approved u/s 80G

(g) During the year he deposited Rs.20,000 in an equity linked saving scheme (Dhan 80) notified u/s 80C

(h) He deposited Rs.12,500 in national saving scheme 1992

(i) Interest accrued on N.S certificates VIII issue purchased in November 2010 for Rs.30,000 is Rs.2,260

Compute his total income.

13. SIPRA Constructions Ltd. Is engaged in the construction of residential flats. For the valuation date 31.03.2013, furnishes the following data and requests you to compute the taxable wealth.

Land in urban area (Construction is not permitted) Rs.50 lakhs

Motor cars (for company use) Rs.10 lakhs

Jewellery (Investment) Rs.10 lakhs

Cash Balance as per books Rs.3 lakhs

Bank Balances Rs.6 lakhs

Guest House (situated in rural area) Rs.8 lakhs

Residential flats occupied by managing director Rs.10 lakhs (drawing remuneration of Rs.8,00,000 p.a.)

Residential house were let out on hire for 100 days Rs. 5 lakhs

Loan obtained: for Motor car Rs.3 lakhs; for jewellery Rs.2 lakhs

14. From the particulars given below, compute the total income for the Previous Year 2012-2013.

	Rs.
Income from Let-out house (computed)	6,000
Annual rental value of his self-occupied house	4,000
Municipal taxes	400
Profit from electric goods business after depreciation	10,000
Profit from agency business	3,000
Speculation gain from gold	2,000
Long-term capital gain from Land	7,000
Short-term capital gain	2,000

Following losses have been brought forward from 2011-12 Previous Year:

Loss from electric goods business	6,000
Loss from an agency business	1,000
Speculation loss from silver	4,000
Unabsorbed Dep.	1,000
Long-term capital loss (Land)	4,400
Short-term capital loss	3,000

15. Explain the provisions relate to calculate amount qualifying for deductions u/s 80 G.

DE–464 **24**

DISTANCE EDUCATION

M.B.A. (CS) DEGREE EXAMINATION, DECEMBER 2014.

Second Semester

ADVANCED COMPANY LAW

(Upto 2012-13 Academic Year and 2013 Calendar Year)

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE questions.

1. Write a note on rights and duties of auditors.

2. Point out the rights of equity share holders.

3. Discuss the winding up process and its regulations.

4. Explain briefly the powers it Roc to call for information.

5. Discuss the powers of inspectors regarding investigation.

6. What is insider trading? Explain with suitable example.

7. Differentiate audit and accounts.

8. Explain the procedures for apportionment of divisible profits.

SECTION B — (4 × 15 = 60 marks)

Answer any FOUR questions.

9. Explain the corporate accountability towards stake holders.

10. Discuss in brief about the prevention of oppression and Mismanagement.

11. Enumerate the necessity of winding up and it's types.

12. Write about the international dimensions of company law.

13. Difference between MNCs and host states.

14. Explain the features of company law in Australia.

15. Describe the rationale behind prohibition of SEBI's anti Insider.

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DE–465 **25**

DISTANCE EDUCATION

M.B.A. (CS) DEGREE EXAMINATION, DECEMBER 2014.

Second Semester

COST AND MANAGEMENT ACCOUNTING

(Upto 2012 – 13 Academic year and 2013 Calendar year)

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE questions.

All questions carry equal marks.

1. List out various limitations of Financial Accounting.

2. Bring out the advantages of Cost Accounting.

3. Draw up the methods of costing.

4. The accounts of Pleasant Company Ltd show the following :

   Materials Rs. 3,50,000, Labor Rs. 2,70,000, Factory Overheads Rs. 81,000 and administration overheads Rs. 56,080. What price should the company quote for a refrigerator? It is estimated that Rs. 1,000 in material and Rs. 700 in labor will be required for one refrigerator. Absorb factory overheads on the basis of labor and administration overheads on the basis of works cost. A profit of 12.5% on selling price is required.

5. From the following data relating to vehicle A compute the cost per running tone-kms.

Kilometer Run (annual) – Rs. 15,000

Tonnes per km (average) – 6

Cost of Vehicle – Rs. 2,50,000

Road License (Annual) – Rs. 800

Insurance (Annual) – Rs. 700

Garage Rent (Annual) – Rs. 1,300

Supervision and Shares – Rs. 2,700

Drivers wages per hour – Rs. 4

Cost of fuel per liter – Rs. 6

Kms run per liter – Rs. 20

Repair and Maintenance per km – Rs. 2

Tyre allocation per km. – Rs. 1

Estimated life of the vehicle – 1,00,000 kms.

Charge interest at – 5% pa on cost of vehicle

vehicle runs – 20 kms per hour on an average

6. List out various applications of process costing.

7. From the following calculate :

(a) Profit Volume Ratio

(b) Profit when sales are Rs. 20,000 and

(c) New Breakeven point if selling price is reduced by 20% where fixed expenses Rs. 4,000 and Break Even point is Rs. 10,000.

8. Current Ratio 2.5, Liquidity Ratio 1.5, Working Capital Rs. 60,000. Calculate Current Liabilities, Current Assets, Liquid Assets and Stock.

SECTION B — (4 × 15 = 60 marks)

Answer any FOUR questions.

All questions carry equal marks.

9. Discuss various characteristics of Ideal Costing System.

10. Mr. Gopal furnishes the following data relating to the manufacture of a standard product during the month of April 1994.

Raw materials consumed	Rs. 15,000
Direct Labour Charges	Rs. 9,000
Machine Hours Worked	900
Administrative overheads	20% on works cost
Selling overheads	Rs. 0.50 per unit
Units produced	17100
Units sold	16000 at Rs. 4 per unit
Machine hour rate	Rs. 5

You are required to prepare a cost sheet from the above showing :

(a) The cost per unit and

(b) Profit per unit sold and profit for the period.

11. A product passes through three distinct processes to completion. These processes are numbered respectively 1, 2 and 3. During the week ended 15th January 1989, 500 units are produced. The following information is obtained.

Particulars	Process – I	Process – II	Process – III
	Rs.	Rs.	Rs.
Direct Materials	3,000	1,500	1,000
Direct Labor	2,500	2,000	2,500
Direct Expenses	500	100	500

The overhead expenses for the period were Rs. 1,400 apportioned to the processes on the basis of wages. No work in progress or process stocks existed at the beginning at the end of the week. Prepare process account.

12. There are two similar plants under the same management. The management desires to merge these two plants. The following particulars are available.

Factory	I	II
Capacity Operation	100%	60%
Units	Rs-Lacs	Rs-Lacs
Sales	600	240
Variable Costs	440	180
Fixed Costs	80	40

You are required to calculate (a) the capacity of the merged plant to be operated for the purpose of break even and (b) the profitability on working at 75% of the merged capacity.

13. Discuss the scope and functions of Management Accounting.

14. Calculate the balance sheet items given in the under mentioned proforma with the help of the following ratios.

Total Assts / Net Worth	3.5
Sales / Fixed Assets	6
Sales / Current Assets	8
Annual Sales	Rs. 25 lacs
Sales / Inventory	15
Sales / Debtors	18
Current Ratio	2.5

15. From the following balance sheet you are required to prepare a schedule of changes in working capital and fund flow statement.

Assets	1993 Rs.	1994 Rs.	Liabilities	1993 Rs.	1994 Rs.
Land	50,000	50,000	Capital	80,000	85,000
Plant	24,000	34,000	Profit & Loss App a/c	14,500	24,500
Stock	9,000	7,000	Creditors	9,000	5,000
Debtors	16,500	19,500	Mortgage	–	5,000
Cash at Bank	4,000	9,000			

DE–466 **31**

DISTANCE EDUCATION

M.B.A. (CS) DEGREE EXAMINATION, DECEMBER 2014.

Third Semester

ORGANISATIONAL BEHAVIOUR

(Upto 2012–2013 Academic Year and 2013 Calendar Year)

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE questions.

All questions carry equal marks.

1. What are the implication of organisational design on organisational behaviour?

2. "Employees have an hierarchical order of values that improve their performance" — Discuss.

3. Briefly explain the skills that a leader possesses.

4. When groups will be more cohesive? Bring out the relevance of group cohesiveness to organisational behaviour.

5. Explain the meaning, needs and importance of organisational behaviour.

6. Explain the term motivation and explain its significance.

7. What is stress? And explain the causes of stress.

8. "Resistance to change is an irrational response" — Explain.

SECTION B — (4 × 15 = 60 marks)

Answer any FOUR of the following.

All questions carry equal marks.

9. What constrains the power of personality traits to precisely predict behaviour?

10. What are the different types of personality? Explain Sigmund Freud's psycho-analytical theory and Carl Jung's theory.

11. Identify the common small group networks and give the advantages of each.

12. State the parameters used in developing the concept of organisational effectiveness.

13. What are the steps practiced in a typical OD programme?

14. Enumerate the factors that influenced for the successful completion of a group tasks.

15. Explain the principal barriers to management communication and suggest measures for improvement.

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DE–467 **32**

DISTANCE EDUCATION

M.B.A. (C.S.) DEGREE EXAMINATION, DECEMBER 2014.

Third Semester

LABOUR AND INDUSTRIAL LAWS

(Upto 2012–13 Academic Year and 2013 Calendar Year)

Time : Three hours Maximum : 100 marks

PART A — (5 × 8 = 40 marks)

Answer any FIVE questions.

All questions carry equal marks.

1. Briefly explain the restriction on the employment in factories of women workers under the Factories Act.

2. Distinguish between total disablement and partial disablement.

3. What is retrenchment? Explain the procedure for retrenchment.

4. Explain the purpose for the employee's state insurance fund shall be spent.

5. Explain the various benefits of the EPF scheme to its members.

6. State the rules regarding the registration of trade union.

7. State the eligibility and disqualification for bonus under Bonus Act 1965.

8. Briefly explain when is an employee qualified and disqualified from receiving bonus.

PART B — (4 × 15 = 60 marks)

Answer any FOUR questions.

All questions carry equal marks.

9. Discuss the provisions of the Factories Act 1948 relating to safety and welfare of workers.

10. How far is an employer liable for compensation to a workman injured by accident arising out of and the in course of his employment?

11. Explain the various authorities which constitute the machinery for the prevention and settlement of industrial dispute.

12. Explain the penalties prescribed by the Employees State Insurance Act for contravention of the provision of the act.

13. "Payment of gratuity" is the statutory duty of the employer and to receive the same is the statutory right of the employee" – Comment.

14. Write short note :

    (a) "Wages" as per the Payment of Wages Act 1936

    (b) Trade Union

    (c) Gratuity

15. How is available surplus determined under the Payment of Bonus Act? What portion of it can be distributed to employees as bonus?

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DE–468 **33**

DISTANCE EDUCATION

M.B.A. (CS) DEGREE EXAMINATION,
DECEMBER 2014.

Third Semester

SECURITIES LAWS AND FINANCIAL MARKETS

(Upto 2012-13 Academic year and 2013 calendar year)

Time : Three hours Maximum : 100 marks

PART A — (5 × 8 = 40 marks)

Answer any FIVE questions.

1. What are the various constituents of financial services?

2. What is financial market? Explain its role and function.

3. State the role and functions of Depository participants.

4. Describe the stock market regulation in India.

5. Discuss the criteria applied by ICRA in evaluating the securities.

6. Critically examine the recent trends in primary market in India.

7. State the regulations pertaining to the membership of a stock exchange.

8. What are the disadvantages of mutual fund investment to the investor?

PART B — (4 × 15 = 60 marks)

Answer any FOUR questions.

9. Explain the role and powers of regulatory authorities in financial and capital market.

10. Elaborate the role of market players in Indian capital market.

11. Draw a brief profile of the leading two credit rating agencies in the country.

12. Explain the obligations and responsibilities of a banker to an issue.

13. State the code of conduct framed by SEBI for the underwriters and trustees.

14. Discuss the framework of derivative trading with reference to NSE.

15. Point out the RBI guidelines on mutual fund.

DE–469 **34**

DISTANCE EDUCATION

M.B.A. (CS) DEGREE EXAMINATION, DECEMBER 2014.

Third Semester

INDIRECT TAXES

(Upto 2012-13 academic year and 2013 calendar year)

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE questions.

1. State the demerits of Indirect taxation.

2. What are the kinds of excise duty?

3. What are the objectives of CST.

4. Discuss the procedural aspects of registration of dealers.

5. State the scope of customs duty.

6. What are the powers of customs officer?

7. Explain Inter and Intra state sale.

8. Explain CENVAT, and who are eligible to avail for CENVAT?

SECTION B — (4 × 15 = 60 marks)

Answer any FOUR questions.

9. What are excisable goods? How goods are valued for assessment under central excise?

10. Explain administration setup excise department in India.

11. Explain the different methods of valuation of goods under customs act.

12. Who are liable for registration under VAT?

13. Write the differences between MODVAT and CENVAT.

14. What are the major reforms made in indirect taxation in the recent years.

15. Write short note on the following :

    (a) Customs tariff Act

    (b) Objectives of customs duty

    (c) Classification of goods

    (d) Countervailing duty on subsided goods.

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DE–470 **35**

DISTANCE EDUCATION

M.B.A. (CS) DEGREE EXAMINATION, DECEMBER 2014.

Third Semester

COMPANY SECRETARIAL PRACTICE

(Upto 2012–2013 Academic year and 2013 calendar year)

Time : Three hours Maximum : 100 marks

PART A — (5 × 8 = 40 marks)

Answer any FIVE questions.

All questions carry equal marks.

1. Discuss the steps that are to be taken before a public company can commence business.

2. Draft specimen resolution for increase in authorized share capital.

3. "A director cannot enter into a contract with the company". Examine the statement.

4. Explain the powers and duties of the chairman in the conduct or company meetings.

5. State the matters that should be included in the auditors' report of a company under the Companies Act.

6. Discuss briefly the consequences of a winding up order.

7. Draft the notice and agenda for the first Board meeting.

8. State the provisions regarding appointment of sole selling agents under the companies Act, 1956.

PART B — (4 × 15 = 60 marks)

Answer any FOUR questions.

All questions carry equal marks.

9. "The director, promoter and every other person who authorized the issue of a prospectus are liable for mis-statement in such a prospectus". Under what circumstances, if any, can any one of them escape the liability?

10. When can share warrant be issued? What is the effect of such issue? Can private company issue share warrents?

11. Enumerate the duties of the Secretary of a company regarding (a) transfer of shares and (b) transmission of shares.

12. How is a Managing Director appointed? What is his role in the management of a company? What are his rights and duties?

13. Outline the duties of a Company Secretary before, at and after the meeting of Board of Directors.

14. State the provisions of the Companies Act relating to maintenance of proper books of account. Where and by whom can the books of account be inspected?

15. How is the Official Liquidator appointed? Describe the power and duties of the liquidator appointed by the court for compulsory winding up.

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DE–471 **36**

DISTANCE EDUCATION

M.B.A. (CS) DEGREE EXAMINATION, DECEMBER 2014.

Third Semester

CORPORATE RESTRUCTURING : LAW AND PRACTICE

(Upto 2012-13 Academic year & 2013 calendar year)

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE questions.

All questions carry equal marks.

1. What are the scope of restructuring?

2. What are the legal aspects of merger?

3. Explain the concept of amalgamation.

4. Write a descriptive note on : Takeover of sick units.

5. What are the legal provisions regarding reverse mergers?

6. List out the criteria of success in post merger Re-organisation.

7. Discuss the necessity of financial restructuring.

8. How the tax reliefs available in corporate demergers? Explain.

SECTION B — (4 × 15 = 60 marks)

Answer any FOUR questions.

All questions carry equal marks.

9. Explain the routes for executing strategy in acquisitions.

10. Discuss the global scenario of corporate restructuring.

11. Explain the types of takeovers.

12. Describe the voluntary winding up of corporate demergers.

13. What are the factors to be considered in post merger re-organisation? Explain.

14. Discuss the SEBI guidelines in financial restructuring.

15. Explain the procedures and practices involved in buy-back of shares.

DE–472 **41**

DISTANCE EDUCATION

M.B.A. (CS) DEGREE EXAMINATION, DECEMBER 2014.

Fourth Semester

DRAFTING AND CONVEYANCING

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE questions.

All questions carry equal marks.

1. Define 'drafting'. Discuss its rules, requirements and legal implications.

2. Discuss the basic requirements of deeds of transfers.

3. What is apprenticeship agreement? What are its contents?

4. Discuss the contents and significance of charge sheets.

5. What is Mortgage by deposit of title deeds? Explain.

6. Write short notes on :

   (a) Patents

   (b) Trade marks.

7. Describe the powers of appellate authorities under taxation.

8. What is general letters of authority? How is it differ from particular letter of authority?

SECTION B — (4 × 15 = 60 marks)

Answer any FOUR questions.

All questions carry equal marks.

9. Explain the General principles of conveyancing.

10. Explain the procedure for drafting a contract agreement.

11. Discuss the different types of Mortgage deeds.

12. Explain the various types of policies in Insurance and its importance.

13. Discuss the principles for drafting an application to public financial institution.

14. Explain the procedure for revision and review applications.

15. Explain power of attorney and its deeds in detail.

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DE–473 **42**

DISTANCE EDUCATION

M.B.A. (CS) DEGREE EXAMINATION, DECEMBER 2014.

Fourth Semester

ECONOMIC LEGISLATIONS

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE questions.

All questions carry equal marks.

1. What are the criteria for grant of industrial licence?

2. What do you mean by combination? What are the procedure for its investigation?

3. Explain the duties of authorised person under FEMA.

4. What are the liabilities for the offences by companies under the Water (Prevention and Control) Act?

5. Explain :

   (a) Ecomark and

   (b) Environmental Audit.

6. Who can file a complaint under the Consumer Protection Act?

7. Write a note on the constitution of Air Pollution Boards.

8. Can a person resident outside India acquire immovable property in India? Explain.

SECTION B — (4 × 15 = 60 marks)

Answer any FOUR questions.

All questions carry equal marks.

9. Discuss the powers of the Central Government for investigation into and takeover of industrial undertaking under the provisions of IDRA.

10. Explain the powers and functions of the Competition Commission.

11. State the provision of FEMA and the regulations made there under with respect to regulation of export of goods and services out of India.

12. Describe the functions and powers of the Central Board under the Water (Prevention and Control of Pollution) Act.

13. "The Object of the Air (Prevention and Control of Pollution) Act, 1981 is the preservation of quality air and control of air pollution". Elucidate.

14. Discuss briefly the provisions of the Protection Act, 1986 and the rules regarding environmental clearances and location of industries.

15. Explain the constitution and role National Commission under the Consumer Protection Act, 1986.

DE–474 **43**

DISTANCE EDUCATION

M.B.A. (CS) DEGREE EXAMINATION, DECEMBER 2014.

Fourth Semester

SECRETARIAL AND MANAGEMENT AUDIT

Time : Three hours Maximum : 100 marks

PART A — (5 × 8 = 40 marks)

Answer any FIVE questions.

1. What way secretarial audit help the shareholders?

2. What is search/status report?

3. How the securities audit help the company and its directors from penal provisions?

4. What are the steps involved in conducting systems audit?

5. Distinguish between cost audit and financial audit.

6. How to protect the interest of investors through securities audit?

7. Write a note on audit committee.

8. What are the challenges to be faced by the company secretaries in practice?

PART B — (4 × 15 = 60 marks)

Answer any FOUR questions.

9. Who is secretarial auditor? What are his rights?

10. What is compliance certificate? Discuss its importance.

11. What are the advisory services rendered by the company secretary in practice?

12. What do you know about professional standards and code of conduct for company secretary in practice?

13. What are the requirements of various financial institutions and corporate lenders regarding grant of loan to companies?

14. Describe the purpose, scope and benefit of management audit.

15. Distinguish between cost audit and management audit.

DE–475 **44**

DISTANCE EDUCATION

M.B.A. (Corporate Secretaryship) DEGREE EXAMINATION, DECEMBER 2014.

Fourth Semester

INTERNATIONAL BUSINESS

Time : Three hours Maximum : 100 marks

PART A — (5 × 8 = 40 marks)

Answer any FIVE questions.

1. Briefly explain the role of technological changes in the global business.

2. What is business ethics? Explain the ethical values in global business.

3. Explain the objectives and structure of SAARC.

4. Explain the various ways of regulating International Business in India.

5. What is Economic Integration? Explain the different kinds of economic integration.

6. Write a note on Trade Related Intellectual Property Rights (TRIPs).

7. What are the basic differences between GATT and WTO?

8. List out factors contributing for the growth of M.N.C's?

PART B — (4 × 15 = 60 marks)

Answer any FOUR questions.

9. Trace the origin for the establishment of WTO. What are the various functions and principles of WTO?

10. Indian markets are attracting expatriates of all hues to the country. What are the changes over the past that have become points of attraction for foreign nationals to work in India?

11. Critically analyze the trends in exports and imports of developing countries.

12. How do you classify the countries as low income, middle income and rich income countries? Do you think that the economic status of the countries influence the global business.

13. Analyze the issues and objectives on the code of conduct of global corporations.

14. How does WTO affect India, particularly in agriculture and in labour aspects?

15. Explain in detail on International commercial disputes redressal mechanism.

DE–476 **45**

DISTANCE EDUCATION

M.B.A. (CS) DEGREE EXAMINATION,
DECEMBER 2014.

Fourth Semester

CORPORATE FINANCIAL MANAGEMENT

Time : Three hours Maximum : 100 marks

PART A — (5 × 8 = 40 marks)

Answer any FIVE questions.

1. Explain the scope of finance function.
2. Discuss the merits and demerits of raising debt finance.
3. Discuss the sources of working capital.
4. Discuss the procedure for the calculation of weighted average cost.
5. Explain the traditional theory of capital structure. What are its assumptions?
6. Discuss the Gorden and walter theories of dividend.
7. Discuss the significance of financial management.
8. Discuss the differences between shares and debentures.

PART B — (4 × 15 = 60 marks)

Answer any FOUR questions.

9. Explain briefly the functions of finance manager in managing the funds of an organization.

10. Explain the concept marginal cost of capital. How is it calculated?

11. (a) A Ltd issues Rs. 50,000 8% debentures at par. The tax rate applicable to the company is 50%. Computer the cost of debt capital.

(b) B Ltd issues Rs. 50,000 8% debentures at a premium of 10%. The tax rate applicable to the company is 60% computer cost of debt capital.

(c) C Ltd issues Rs. 50,000 8% debentures at a discount of 5%. The tax rate is 50%, computer the cost of debt capital.

(d) D Ltd issues Rs. 1,00,000 9% debentures at a premium of 10% . The costs of floatation are 2%. The tax rate applicable is 60%. Computer cost of debt capital.

12. Discuss various methods of raising long term finance.

13. Discuss the role of commercial banks in providing working capital for the organizations.

14. The following information is available in respect of a firm.

Capitalization rate $((k_e)) = 0.10$

Earnings per share (E) = Rs. 10

Assumed rate to return on investment (r):

(a) 15,

(b) 8 and

(c) 10.

Show the effect of dividend policy on the market price of shares using Walter's model.

15. The Agro–Chemicals belongs to a risk class for which the appropriate capitalization rate is 10%. It currently has 1,00,000 shares selling at Rs. 100 each. The firm is contemplating the declaration of Rs. 5 as dividend at the end of the current financial year, which has just begun. What will be the price of the shares at the end of the year, if a dividend is not declared? What will it be if one is? Answer these on the basis of Modigliani and Miller model and assume no taxes.